

“FPIs have to live with current taxation”

Sebi Chairman Tuhin Kanta Pandey on developing trust, protecting retail investors, and building capital markets worthy of a developed India

BY SIDDHARTH ZARABI

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A 1987 batch officer of the Indian Administrative Service from the Odisha cadre, Tuhin Kanta Pandey took over as Securities and Exchange Board of India (Sebi) chief on March 1. On the sidelines of BT Mindrush event, he speaks about how he plans to increase trust in the market regulator and make Sebi a world-class institution. Edited excerpts.

Q: What are the priorities you have set in the one month that you’ve been at Sebi?

A: First, I need to emphasise that Sebi is a robust institution. It has been built over the years with successive leadership and has had the benefit of the large number of institutions built around it. We have one of the

best capital market infrastructures in the world. The issue is, how can we make our own contribution. We must continuously meet the challenges in a dynamic environment. I mentioned when I joined that we would have four pillars or four Ts—Trust, Transparency, Teamwork and Technology. On trust, how can we build teams, because nothing that Sebi needs to do can be done unilaterally; it must be done with capital market participants. The second is transparency. In many respects, the trust has been high. Sebi is one of the regulators that puts out a lot in public domain. In many cases, we have industry standards forums. There is a Primary Capital Market Committee, there’s a Secondary Capital Market Committee, plus several committees where they deliberate and invite public comments before things take shape. We can give this process a little bit time and not rush through things so that we don’t have to tweak it unnecessarily all the time. We need to have this conflict of interest (issue) sorted out.

Q: Have you noticed a trust deficit, and has that hampered work?

A: Trust is something to be continuously held and upgraded. We cannot really say if there is a deficit or not. The question is that as we evolve, if we keep the next 22 years to 2047 in mind, how will our capital markets evolve? We need to see where we will be in terms of trust, transparency, teamwork and technology. The latter is another area where a huge amount of work will have to be done.